

## Testahil — Emirates Integrated Telecommunications Company PJSC (DFM: DU)

Companion model · Independent Valuation Study · Educational analysis · Not investment advice

What this workbook is. A transparent companion to the du valuation study. Every blue cell is an input; every black cell is a formula; green cells link across sheets.

IT IS FORMULA-DRIVEN. Every figure that can be derived arithmetically from a driver is a live formula, so you can change a blue cell on Assumptions and watch the model reprice: the cost of capital is built from the risk-free rate net of the sovereign spread, beta and the premium rather than pasted; the discount factors compound from the glide; and the income statement, balance sheet, cash flow, ratios and all four lenses chain off the same cells.

THREE THINGS ARE PASTED VALUES, and it is worth knowing exactly which. First, audited and disclosed history — the primary record, not a calculation. Second, the unit build's output: forecast revenue for the four segments the company itself discloses (Mobile, Fixed, Wholesale, ICT and associated telecom services). Mobile and Fixed are built bottom-up as subscribers x ARPU — the driver table is shown on the Segments sheet — and Wholesale and ICT are grown at segment level because the company discloses no unit KPIs for them; only the build's OUTPUT (segment revenue per year) is pasted, and everything downstream of it is formula. Third, whole-model engine outputs, where each figure is a complete re-run of the entire valuation and so cannot be a single formula: the Monte Carlo price map, the sensitivity grids, and the DCF scenario bear/bull bounds. Everything else — including every lens base value, the relative/normalised/book bear and bull bounds, and the anchor-date roll — is a live formula. Changing a driver reprices the model but does NOT redraw the engine outputs.

How revenue is built. Not as one growth rate. Mobile = average subscriber base x blended ARPU x 12; the subscribers-x-ARPU frame reproduces the audited FY2025 mobile segment to within 0.1%. Fixed = subscriber base x implied revenue per subscriber (a consumer-plus-enterprise blend, so an intensity metric, not a tariff). Wholesale and ICT are grown on their own paths — the war-hit roaming/transit recovery and the data-centre ramp respectively. Contribution margins are the audited Note 38 rates; the opex stack below them carries ONE escalator per cost class. Group EBITDA margin is an OUTPUT of all of this, not an input.

The fiscal regime — the study's contested judgement. The 38% federal royalty + 9% corporate tax regime (43.6% combined take) is legislated for 2024-2026 only. The base model carries it forward (Framing A); the Fundamental Valuation sheet also shows the DCF under a reversion to the pre-2024 construction (Framing B, a 51-52% take). Both are shown; they are never averaged.

What it is not. It is not investment advice, a recommendation, or a price target. Values are model outputs shown as ranges.

Sourcing note, up front. FY2023, FY2024 and FY2025 all come from the company's own audited consolidated financial statements read from investors.du.ae, and H1-2026 from the KPMG-reviewed interims — every income-statement, balance-sheet and segment line is the filed figure. Segment revenue ties EXACTLY to consolidated revenue in every year (Note 38). du carries ZERO drawn borrowings in every year studied; the only debt-like item is IFRS-16 lease liabilities, and the bridge treats them as debt. Every input is annotated where it appears and listed with source and date in the companion bibliography document.

Discount convention. Each explicit year is discounted at its own forward cost of capital, gliding 6.32% -> 6.08% on the AED risk-free path (du has no debt whose cost could define the glide); the terminal value is capitalised at the terminal rate and discounted at the year-5 cumulative factor. One date, one price of time: the bridge is dated 31-Dec-2025 and rolled to the 07-Aug-2026 anchor at the cost of equity, net of the AED 0.40 final dividend paid 28-Apr-2026.

Currency. AED million unless stated. Spot AED 12.30 (2026-08-07 close). Sheets: READ FIRST · Summary · Fundamental Valuation · Assumptions · SOTP Bridge · Segments · Relative & Normalized · DCF · Income Statement · Balance Sheet · Cash Flow · Summary Financials · Monte Carlo · Sensitivity · Per-Share & Ratios · Peer & Sector.

## Summary — valuation at a glance

All values link live to their source sheets

| Lens                                                            | Bear | Base        | Bull         | Weight       | Contribution  | vs spot      |
|-----------------------------------------------------------------|------|-------------|--------------|--------------|---------------|--------------|
| Discounted cash flow (primary)                                  |      | 10.80       | 18.74        | 28.73        | 45.0%         | 8.43 52.4%   |
| Relative multiples                                              |      | 8.27        | 10.80        | 12.97        | 25.0%         | 2.70 (12.2%) |
| Normalised earnings power                                       |      | 8.26        | 10.78        | 12.95        | 20.0%         | 2.16 (12.3%) |
| Book value and sustainable return                               |      | 9.60        | 14.76        | 16.00        | 10.0%         | 1.48 20.0%   |
| <b>Weighted central</b>                                         |      | <b>8.26</b> | <b>14.77</b> | <b>28.73</b> | <b>100.0%</b> | <b>20.1%</b> |
|                                                                 |      |             |              |              |               |              |
| Alternative reading — the fiscal regime reverts (Framing B DCF) |      |             | 15.95        |              |               | 29.7%        |
| Terminal value share of DCF enterprise value                    |      |             | 85.2%        |              |               |              |
| Expert panel median                                             |      |             | 18.64        |              |               | 51.6%        |
| <b>Market price (anchor)</b>                                    |      |             | <b>12.30</b> |              |               |              |

| Key figure                                                   | Value  |
|--------------------------------------------------------------|--------|
| Shares outstanding (mn)                                      | 4,533  |
| Market capitalisation (AED mn)                               | 55,755 |
| Lease liabilities, FY2025 (AED mn) — the only debt-like item | 1,939  |
| Cash and term deposits, FY2025 (AED mn)                      | 2,250  |
| FY2025 revenue (AED mn)                                      | 15,905 |
| FY2025 EBITDA (AED mn)                                       | 7,338  |
| FY2025 net profit (AED mn)                                   | 2,905  |
| Cost of capital — explicit window                            | 6.3%   |
| Cost of capital — terminal                                   | 6.1%   |
| Terminal growth                                              | 2.5%   |

## Fundamental valuation — the four lenses and the contested judgement

| Lens / step                       | Basis               | AED per share |
|-----------------------------------|---------------------|---------------|
| Discounted cash flow              | links to the DCF st | 18.74         |
| bear                              | ARPU −5%, subscri   | 10.80         |
| bull                              | ARPU +3%, subscri   | 28.73         |
| Relative multiples                | 15.5x justified P/  | 10.80         |
| Normalised earnings power         | 15.5x normalised e  | 10.78         |
| Book value and sustainable return | justified price-to- | 14.76         |
| <b>Weighted central</b>           |                     | <b>14.77</b>  |

### THE CONTESTED JUDGEMENT — THE POST-2026 FISCAL REGIME, BOTH WAYS

|                                                                                |       |
|--------------------------------------------------------------------------------|-------|
| Framing A (base): 38% royalty + 9% tax persist — combined take                 | 43.6% |
| Fair value under Framing A (the primary DCF)                                   | 18.74 |
| Framing B: reversion to the pre-2024 construction — year-1 take                | 51.5% |
| 15% of regulated revenue (69.0% share) + 30% of the regulated profit remainder |       |
| Fair value under Framing B (engine re-run of the same DCF)                     | 15.95 |
| The judgement is worth (A minus B, per share)                                  | 2.79  |

### EXPERT PANEL

| Expert              | Method              | Base (AED/share) | Low   | High  |
|---------------------|---------------------|------------------|-------|-------|
| Expert 1            | earnings power      | 9.87             | 7.82  | 11.58 |
| Expert 2            | dividend stream     | 18.92            | 10.05 | 22.00 |
| Expert 3            | cash returns vs co: | 18.64            | 12.40 | 20.88 |
| <b>Panel median</b> |                     | <b>18.64</b>     |       |       |

The risk-free tenor question, priced

There is no liquid 10-year AED government point. The base model uses the Jan-2031 AED T-bond (4.48%); discounting instead at the peg-extrapolated 10-year proxy (4.69%) is an

17.73

## Assumptions — every input in the model

Blue cells are inputs. Change one and the model reprices: everything downstream is a formula.

| Input                                                                           | FY26E  | FY27E | FY28E  | FY29E  | FY30E  |
|---------------------------------------------------------------------------------|--------|-------|--------|--------|--------|
| <b>Inputs</b>                                                                   |        |       |        |        |        |
| <b>Unit build — mobile and fixed (subscribers x ARPU)</b>                       |        |       |        |        |        |
| Spot price (AED)                                                                |        | 12.30 |        |        |        |
| Shares outstanding (mn)                                                         |        | 4,533 |        |        |        |
| Combined federal royalty + income tax rate (Framing A, audited FY2025)          |        | 43.6% |        |        |        |
| Regulated revenue share (Framing B base, audited FY2023)                        |        | 69.0% |        |        |        |
| Framing B — royalty rate on regulated revenue                                   |        | 15.0% |        |        |        |
| Framing B — royalty rate on regulated profit                                    |        | 30.0% |        |        |        |
| <b>Segment contribution margins (audited FY2025 rates; ICT lifted on scale)</b> |        |       |        |        |        |
| Mobile subscribers, end of year ('000)                                          | 9,450  | 9,760 | 10,010 | 10,240 | 10,450 |
| Fixed subscribers, end of year ('000)                                           | 760    | 790   | 815    | 838    | 858    |
| Blended mobile ARPU (AED/month)                                                 | 63.4   | 63.6  | 63.8   | 64.0   | 64.2   |
| Implied fixed revenue per subscriber (AED/month)                                | 537    | 545   | 553    | 561    | 569    |
| Wholesale revenue growth                                                        | (0.8%) | 1.5%  | 2.0%   | 2.0%   | 2.0%   |
| ICT and associated telecom revenue growth                                       | 7.9%   | 11.0% | 10.0%  | 9.0%   | 8.0%   |
| <b>Operating expense stack — one escalator per cost class</b>                   |        |       |        |        |        |
| Mobile — contribution margin                                                    | 60.8%  | 60.8% | 60.8%  | 60.8%  | 60.8%  |
| Fixed — contribution margin                                                     | 85.8%  | 85.8% | 85.8%  | 85.8%  | 85.8%  |
| Wholesale — contribution margin                                                 | 86.4%  | 86.4% | 86.4%  | 86.4%  | 86.4%  |
| ICT — contribution margin                                                       | 19.4%  | 20.0% | 20.5%  | 21.0%  | 21.5%  |
| <b>Capital intensity and working capital</b>                                    |        |       |        |        |        |
| Staff cost, FY2026E level (AED mn)                                              |        | 985   |        |        |        |
| Staff escalator (UAE wage inflation)                                            |        | 2.0%  |        |        |        |
| Network & maintenance, FY2025 base (AED mn, audited)                            |        | 964   |        |        |        |
| Network escalator (network scale)                                               |        | 3.0%  |        |        |        |
| Administrative expense, FY2025 base (AED mn, audited)                           |        | 190   |        |        |        |
| Administrative escalator (CPI)                                                  |        | 2.0%  |        |        |        |
| Other operating expense, FY2025 base (AED mn, audited)                          |        | 133   |        |        |        |
| Other-expense escalator (CPI)                                                   |        | 2.0%  |        |        |        |
| Marketing / revenue                                                             |        | 1.8%  |        |        |        |
| Telecom licence and related fees / revenue (regulatory revenue share)           |        | 2.7%  |        |        |        |
| Expected credit losses / revenue                                                |        | 1.5%  |        |        |        |
| Other operating income (AED mn/yr)                                              |        | 15    |        |        |        |
| <b>Capital intensity and working capital</b>                                    |        |       |        |        |        |
| Capital expenditure / revenue                                                   | 15.5%  | 15.0% | 14.5%  | 13.5%  | 13.0%  |
| Tangible share of capex (audited FY2025)                                        |        | 86.6% |        |        |        |
| PP&E depreciation rate on opening balance (audited FY2025)                      |        | 15.8% |        |        |        |
| Intangibles amortisation rate on opening balance (audited FY2025)               |        | 28.9% |        |        |        |
| Right-of-use depreciation = lease replacement capex (AED mn)                    | 355    | 350   | 345    | 340    | 335    |

|                                                               |        |  |  |  |  |
|---------------------------------------------------------------|--------|--|--|--|--|
| Net working capital / revenue (audited FY2025 component days) | (6.7%) |  |  |  |  |
|---------------------------------------------------------------|--------|--|--|--|--|

### Cost of capital

|                                                                 |       |      |      |      |      |
|-----------------------------------------------------------------|-------|------|------|------|------|
| Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor) | 4.5%  |      |      |      |      |
| UAE sovereign default spread (netted out; Aa2 rating basis)     | 0.4%  |      |      |      |      |
| Equity risk premium (UAE total, rating basis)                   | 4.9%  |      |      |      |      |
| Beta (DU weekly vs FTSE ADX General, 5y)                        | 0.488 |      |      |      |      |
| Marginal cost of debt (AED sovereign + GCC telecom spread)      | 5.1%  |      |      |      |      |
| AED risk-free path (defines the glide)                          | 4.5%  | 4.4% | 4.4% | 4.4% | 4.3% |
| Terminal risk-free rate                                         | 4.3%  |      |      |      |      |
| Terminal equity risk premium                                    | 4.9%  |      |      |      |      |
| Terminal cost of debt                                           | 4.9%  |      |      |      |      |
| Terminal debt weight                                            | 5.0%  |      |      |      |      |
| Terminal growth                                                 | 2.5%  |      |      |      |      |

### Balance-sheet and bridge anchors

|                                                                         |       |
|-------------------------------------------------------------------------|-------|
| Lease liabilities at FY2025 (AED mn, audited — the only debt-like item) | 1,939 |
| Cash and term deposits at FY2025 (AED mn, audited)                      | 2,250 |
| Equity-accounted investees at carrying value (AED mn)                   | 0.5   |
| Forecast dividend payout ratio (FY2024 actual 98%, FY2025 ~100%)        | 98.0% |
| Yield on cash and term deposits (audited FY2025 effective)              | 3.3%  |
| Lease interest rate (audited FY2025 effective)                          | 3.6%  |
| Final FY2025 dividend paid 28-Apr-2026 (AED/share)                      | 0.40  |
| Days from the 31-Dec-2025 valuation date to the 07-Aug-2026 anchor      | 219   |

### Lens inputs

|                                                    |        |
|----------------------------------------------------|--------|
| Justified price/earnings (GCC telecom peer median) | 15.50x |
| Peer benchmark dividend yield                      | 5.2%   |
| Sustainable return on equity                       | 27.0%  |
| Weight — discounted cash flow                      | 45.0%  |
| Weight — relative                                  | 25.0%  |
| Weight — normalised                                | 20.0%  |
| Weight — book                                      | 10.0%  |

**Enterprise value to equity — the bridge**

du has no drawn borrowings and no minority interests: the bridge is leases out, cash and deposits in

| Step                                              | AED mn | Per share (AED) |        |
|---------------------------------------------------|--------|-----------------|--------|
| Present value of the five forecast years          |        | 12,335          | 2.72   |
| Present value of the terminal value               |        | 70,945          | 15.65  |
| Enterprise value                                  |        | 83,280          | 18.37  |
| Less lease liabilities (the only debt-like item)  |        | (1,939)         | (0.43) |
| Plus cash and term deposits                       |        | 2,250           | 0.50   |
| Plus equity-accounted investees at carrying value |        | 1               | 0.00   |
| Equity value                                      |        | 83,592          | 18.44  |

Terminal value as a share of enterprise value 85.2%

No minority interests: every subsidiary is wholly owned (the two H1-2026 Cayman SPVs are 100%-held); non-controlling interests do not appear on the audited balance sheet.

## Segments — the unit build and the margin stack

FY2025 disclosed revenue and contribution margins; forecast segment revenue is the unit build's OUTPUT (pasted, blue) and everything below it is formula

| Segment                             | FY2025 revenue | Share         | FY2025 margin | FY26E         | FY27E         | FY28E         | FY29E         | FY30E         |
|-------------------------------------|----------------|---------------|---------------|---------------|---------------|---------------|---------------|---------------|
| Mobile                              | 7,075          | 44.5%         | 60.8%         | 7,209         | 7,331         | 7,568         | 7,776         | 7,970         |
| Fixed                               | 4,380          | 27.5%         | 85.8%         | 4,806         | 5,069         | 5,325         | 5,564         | 5,790         |
| Wholesale                           | 2,568          | 16.1%         | 86.4%         | 2,548         | 2,586         | 2,638         | 2,690         | 2,744         |
| ICT and associated telecom services | 1,883          | 11.8%         | 19.4%         | 2,031         | 2,255         | 2,480         | 2,703         | 2,920         |
| <b>Total revenue</b>                | <b>15,905</b>  | <b>100.0%</b> |               | <b>16,593</b> | <b>17,240</b> | <b>18,011</b> | <b>18,734</b> | <b>19,424</b> |

| Contribution — revenue x the margin path | FY26E         | FY27E         | FY28E         | FY29E         | FY30E         |
|------------------------------------------|---------------|---------------|---------------|---------------|---------------|
| Mobile                                   | 4,383         | 4,457         | 4,601         | 4,728         | 4,846         |
| Fixed                                    | 4,123         | 4,349         | 4,569         | 4,774         | 4,968         |
| Wholesale                                | 2,201         | 2,234         | 2,279         | 2,324         | 2,371         |
| ICT and associated telecom services      | 394           | 451           | 508           | 568           | 628           |
| <b>Total contribution</b>                | <b>11,101</b> | <b>11,491</b> | <b>11,958</b> | <b>12,394</b> | <b>12,812</b> |

| Operating expense stack — one escalator p       | FY26E        | FY27E        | FY28E        | FY29E        | FY30E        |
|-------------------------------------------------|--------------|--------------|--------------|--------------|--------------|
| Staff (wage escalator)                          | 985          | 1,005        | 1,025        | 1,045        | 1,066        |
| Network & maintenance (network-scale escalat    | 993          | 1,023        | 1,053        | 1,085        | 1,117        |
| Marketing (% of revenue)                        | 299          | 310          | 324          | 337          | 350          |
| Telecom licence and related fees (% of revenue  | 448          | 465          | 486          | 506          | 524          |
| Administrative (CPI escalator)                  | 193          | 197          | 201          | 205          | 209          |
| Other operating expense (CPI escalator)         | 136          | 139          | 141          | 144          | 147          |
| Expected credit losses (% of revenue)           | 241          | 250          | 261          | 272          | 282          |
| Less other operating income                     | (15)         | (15)         | (15)         | (15)         | (15)         |
| <b>Total operating expenses before D&amp;A</b>  | <b>3,279</b> | <b>3,374</b> | <b>3,477</b> | <b>3,579</b> | <b>3,681</b> |
| <b>Group EBITDA (contribution less the opex</b> | <b>7,822</b> | <b>8,117</b> | <b>8,481</b> | <b>8,815</b> | <b>9,132</b> |
| Group EBITDA margin                             | 47.1%        | 47.1%        | 47.1%        | 47.1%        | 47.0%        |

| The unit build behind Mobile and Fixed (tr     | FY26E | FY27E | FY28E  | FY29E  | FY30E  |
|------------------------------------------------|-------|-------|--------|--------|--------|
| Mobile subscribers, end of year ('000)         | 9,450 | 9,760 | 10,010 | 10,240 | 10,450 |
| Average mobile base ('000) — (prior end + end  | 9,365 | 9,605 | 9,885  | 10,125 | 10,345 |
| Blended mobile ARPU (AED/month)                | 63.4  | 63.6  | 63.8   | 64.0   | 64.2   |
| Unit-implied mobile revenue — average base x - |       | 7,331 | 7,568  | 7,776  | 7,970  |
| Pasted mobile segment revenue (the build outp  | 7,209 | 7,331 | 7,568  | 7,776  | 7,970  |
| Check — unit-implied less pasted               | -     | -     | -      | -      | -      |

FY2025 reconciliation: average base 9,310k x ARPU 63.3 x 12 = 7,072 vs the audited mobile segment 7,075 (−0.04%). Wholesale and ICT have no disclosed unit KPIs — segment-level growth is the finest sourced level, and that gap is flagged.



## Relative multiples and normalised earnings power

| Relative lens                                                                         | Value        |                     |       |       |
|---------------------------------------------------------------------------------------|--------------|---------------------|-------|-------|
| FY2026E earnings per share (AED)                                                      | 0.70         |                     |       |       |
| Justified price / earnings (GCC peer median)                                          | 15.50x       |                     |       |       |
| Implied value at 31-Dec-2025 (AED)                                                    | 10.79        |                     |       |       |
| Anchor accretion factor                                                               | 1.0381       |                     |       |       |
| Less final FY2025 dividend paid 28-Apr-2026 (AED)                                     | 0.40         |                     |       |       |
| <b>Implied value per share at the anchor (AED)</b>                                    | <b>10.80</b> |                     |       |       |
| Bear at 12.0x (C) / bull at 18.5x (D), same construction                              | 8.27         |                     | 12.97 |       |
| Trailing price / earnings                                                             | 19.19x       |                     |       |       |
| Trailing enterprise value / EBITDA                                                    | 7.56x        |                     |       |       |
| Dividend-yield cross: FY2026E dividend per share (AED)                                | 0.68         |                     |       |       |
| Peer benchmark dividend yield                                                         | 5.2%         |                     |       |       |
| Implied value from the yield cross (AED)                                              | 13.12        |                     |       |       |
| <b>Normalised earnings lens — mid-cycle margin (FY2028E) aValue</b>                   |              |                     |       |       |
| Current-scale revenue (FY2026E, AED mn)                                               | 16,593       |                     |       |       |
| Mid-cycle EBITDA margin (FY2028E)                                                     | 47.1%        |                     |       |       |
| Normalised EBITDA (AED mn)                                                            | 7,813        |                     |       |       |
| Normalised EBIT (AED mn) — less FY2026E depreciation and amortisation                 | 5,578        |                     |       |       |
| Net finance income (FY2026E, AED mn)                                                  | 4            |                     |       |       |
| Normalised net profit (AED mn)                                                        | 3,150        |                     |       |       |
| Normalised earnings per share (AED)                                                   | 0.69         |                     |       |       |
| <b>Implied value per share at the anchor (AED)</b>                                    | <b>10.78</b> | bear 12.0x (E) / bu | 8.26  | 12.95 |
| <b>Book lens</b>                                                                      | <b>Value</b> |                     |       |       |
| Book value per share (AED)                                                            | 2.24         |                     |       |       |
| Sustainable return on equity                                                          | 27.0%        |                     |       |       |
| Trailing return on equity                                                             | 29.0%        |                     |       |       |
| Perpetual (terminal) cost of equity — a steady-state multiple takes a steady-state ra | 6.3%         |                     |       |       |
| Justified price / book                                                                | 6.52x        |                     |       |       |
| <b>Implied value per share at the anchor (AED)</b>                                    | <b>14.76</b> | bear / bull constru | 9.60  | 16.00 |

Discounted cash flow — the full waterfall

Every line is a live formula: the cost of capital is built below, the glide is derived from the AED risk-free path, and the terminal value is capitalised at the terminal rate and discounted at the year-5 factor

| AED mn                                                | FY26E   | FY27E   | FY28E   | FY29E   | FY30E   |
|-------------------------------------------------------|---------|---------|---------|---------|---------|
| Revenue                                               | 16,593  | 17,240  | 18,011  | 18,734  | 19,424  |
| EBITDA                                                | 7,822   | 8,117   | 8,481   | 8,815   | 9,132   |
| EBITDA margin                                         | 47.1%   | 47.1%   | 47.1%   | 47.1%   | 47.0%   |
| Less depreciation and amortisation                    | (2,235) | (2,352) | (2,448) | (2,530) | (2,582) |
| EBIT                                                  | 5,587   | 5,765   | 6,032   | 6,284   | 6,549   |
| NOPAT — EBIT x (1 - 43.6% combined royalty and tax)   | 3,153   | 3,253   | 3,404   | 3,546   | 3,696   |
| Add back depreciation and amortisation                | 2,235   | 2,352   | 2,448   | 2,530   | 2,582   |
| Less capital expenditure                              | (2,572) | (2,586) | (2,612) | (2,529) | (2,525) |
| Less lease replacement (at right-of-use depreciation) | (355)   | (350)   | (345)   | (340)   | (335)   |
| Less change in working capital                        | 46      | 43      | 52      | 48      | 46      |
| Free cash flow to the firm                            | 2,507   | 2,712   | 2,947   | 3,256   | 3,464   |
| Forward cost of capital                               | 6.32%   | 6.26%   | 6.20%   | 6.15%   | 6.08%   |
| Discount factor                                       | 0.9406  | 0.8851  | 0.8335  | 0.7852  | 0.7402  |
| Present value of FCFF                                 | 2,358   | 2,401   | 2,456   | 2,556   | 2,564   |

TERMINAL VALUE, BRIDGE AND THE ANCHOR ROLL

|                                                                          |        |
|--------------------------------------------------------------------------|--------|
| Terminal-year NOPAT grown one year (AED mn)                              | 3,788  |
| Terminal return on invested capital                                      | 26.7%  |
| Required reinvestment rate (g / return on capital)                       | 9.4%   |
| Terminal growth                                                          | 2.5%   |
| Terminal cost of capital                                                 | 6.1%   |
| Terminal value — terminal-year NOPAT C21 x (1–C23), capitalised (AED mn) | 95,849 |
| Present value of the five forecast years (AED mn)                        | 12,335 |
| Present value of the terminal value (AED mn)                             | 70,945 |
| Terminal value as a share of enterprise value                            | 85.2%  |
| Enterprise value (AED mn)                                                | 83,280 |
| Equity value (AED mn)                                                    | 83,592 |
| Fair value per share at 31-Dec-2025 (AED)                                | 18.44  |

COST OF CAPITAL — BUILT HERE, NOT ASSUMED

|                                                                      |        |
|----------------------------------------------------------------------|--------|
| Risk-free rate — Jan-2031 AED T-bond (longest liquid AED tenor)      | 4.48%  |
| Less UAE sovereign default spread (removed to avoid double-counting) | 0.42%  |
| Risk-free rate net of the sovereign spread                           | 4.06%  |
| Beta (DU weekly vs the FTSE ADX General, 5 years)                    | 0.488  |
| Equity risk premium (UAE total, rating basis)                        | 4.87%  |
| Cost of equity, explicit window                                      | 6.44%  |
| Marginal cost of debt (AED sovereign + GCC telecom spread)           | 5.10%  |
| Cost of debt after tax (interest shields both fiscal legs)           | 2.88%  |
| Market capitalisation (AED mn)                                       | 55,755 |
| Lease liabilities — the only debt-like item (AED mn)                 | 1,939  |
| Debt weight (leases / (leases + market capitalisation))              | 3.36%  |
| Equity weight                                                        | 96.64% |
| Cost of capital, explicit window                                     | 6.32%  |
| Terminal risk-free rate                                              | 4.30%  |
| Terminal risk-free net of the sovereign spread                       | 3.88%  |
| Terminal cost of equity                                              | 6.26%  |
| Terminal cost of debt                                                | 4.90%  |
| Terminal cost of debt after tax                                      | 2.77%  |
| Terminal debt weight                                                 | 5.00%  |
| Terminal cost of capital                                             | 6.08%  |

| The glide — inherited from the AED risk-free path, FY26E | FY27E | FY28E  | FY29E  | FY30E  |         |
|----------------------------------------------------------|-------|--------|--------|--------|---------|
| AED risk-free path                                       | 4.48% | 4.44%  | 4.39%  | 4.35%  | 4.30%   |
| Glide fraction — cumulative progress of the easing       | 0.00% | 22.22% | 50.00% | 72.22% | 100.00% |

Note: row 16 above is the explicit-window cost of capital walked down to the terminal rate by the glide fraction on row 58. du carries no debt whose cost could define the glide, so the cost-of-money path itself (the AED risk-free path) does — the shape is inherited, not a second free parameter.

THE ANCHOR ROLL — one date, one price of time

|                                                                       |        |
|-----------------------------------------------------------------------|--------|
| Anchor accretion factor — (1 + cost of equity)^(days to anchor / 365) | 1.0381 |
| Fair value per share at the 07-Aug-2026 anchor (AED)                  | 18.74  |

The bridge on row 32 is dated 31-Dec-2025 (the audited balance-sheet date it nets leases and cash at). Row 63 rolls it to the anchor at the cost of equity, net of the AED 0.40 final FY2025 dividend paid 28-Apr-2026. Every lens on every sheet is rolled the same way. The H1-2026 interim dividend of AED 0.26 (declared 23-Jul-2026, unpaid at the anchor) stays in the share.

Income statement – three years historical, five years forecast

AED mn, consolidated. History is the audited record; every forecast line is a formula

| AED mn                                              | FY2023  | FY2024  | FY2025  | FY26E   | FY27E   | FY28E   | FY29E   | FY30E   |
|-----------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|---------|
| Revenue                                             | 13,636  | 14,636  | 15,905  | 16,593  | 17,240  | 18,011  | 18,734  | 19,424  |
| Direct costs (interconnect, commissions, devices) - |         | (4,818) | (5,259) | (5,492) | (5,749) | (6,053) | (6,340) | (6,612) |
| Segment contribution                                | -       | 9,817   | 10,646  | 11,101  | 11,491  | 11,958  | 12,394  | 12,812  |
| Operating expenses before D&A                       | -       | (3,348) | (3,308) | (3,279) | (3,374) | (3,477) | (3,579) | (3,681) |
| EBITDA                                              | 5,800   | 6,470   | 7,338   | 7,822   | 8,117   | 8,481   | 8,815   | 9,132   |
| EBITDA margin                                       | 42.5%   | 44.2%   | 46.1%   | 47.1%   | 47.1%   | 47.1%   | 47.1%   | 47.0%   |
| Depreciation and amortisation                       | (2,198) | (2,154) | (2,168) | (2,235) | (2,352) | (2,448) | (2,530) | (2,582) |
| Operating profit (EBIT)                             | 3,601   | 4,316   | 5,170   | 5,587   | 5,765   | 6,032   | 6,284   | 6,549   |
| Interest income                                     | 61      | 82      | 75      | 74      | 55      | 39      | 26      | 19      |
| Interest expense (principally leases)               | (101)   | (90)    | (95)    | (70)    | (70)    | (70)    | (70)    | (70)    |
| Share of equity-accounted investments               | (3)     | (2)     | (1)     |         |         |         |         |         |
| Profit before federal royalty and income tax        | 3,559   | 4,306   | 5,149   | 5,591   | 5,750   | 6,002   | 6,241   | 6,498   |
| Federal royalty and income tax                      | (1,891) | (1,819) | (2,144) | (2,436) | (2,505) | (2,615) | (2,719) | (2,831) |
| Net profit                                          | 1,668   | 2,488   | 2,905   | 3,155   | 3,245   | 3,387   | 3,522   | 3,667   |
| Earnings per share (AED)                            | 0.37    | 0.55    | 0.64    | 0.70    | 0.72    | 0.75    | 0.78    | 0.81    |
| Dividend per share (AED)                            | 0.34    | 0.54    | 0.64    | 0.68    | 0.70    | 0.73    | 0.76    | 0.79    |

Notes: FY2024-25 are the audited IFRS 18 face (EBITDA is printed); FY2023 predates IFRS 18 – its by-nature split is not shown (“-”) and its EBITDA is derived from audited components and flagged. The historical profit-before-royalty line is the printed figure (small net-impairment items keep it from being a three-line sum; the forecast has none). FY2023 royalty is the old-regime charge (15% of regulated revenue + 30% of regulated profit); no corporate income tax existed before 2024.

Balance sheet – condensed

Notes to the financial statements are an integral part of the financial statements. An analysis of the financial statements is provided in the notes to the financial statements.

| AED mn                                         | FY2023 | FY2024  | FY2025  | FY2026  | FY2027  | FY2028  | FY2029  | FY2030  |
|------------------------------------------------|--------|---------|---------|---------|---------|---------|---------|---------|
| Property, plant and equipment                  | 9,723  | 9,838   | 10,289  | 10,887  | 11,403  | 11,860  | 12,173  | 12,432  |
| of which depreciation charge (minus)           | 1,544  | 1,569   | 1,558   | 1,629   | 1,753   | 1,865   | 1,877   | 1,927   |
| Right-of-use assets                            | 1,597  | 1,607   | 1,515   | 1,515   | 1,515   | 1,515   | 1,515   | 1,515   |
| Intangible assets (net of goodwill)            | 1,111  | 847     | 878     | 863     | 1,051   | 1,083   | 1,109   | 1,127   |
| of which amortisation charge (minus)           | 209    | 210     | 246     | 251     | 278     | 298     | 313     | 320     |
| Goodwill                                       | -      | 413     | 413     | 413     | 413     | 413     | 413     | 413     |
| Net working capital (royalty accrual excluded) | (963)  | (1,220) | (1,852) | (1,188) | (1,152) | (1,203) | (1,251) | (1,297) |
| Cash and term deposits                         | 1,307  | 2,283   | 2,296   | 1,687   | 1,191   | 892     | 562     | 423     |
| Lease liabilities (the only debt-like item)    | 2,105  | 1,999   | 1,939   | 1,939   | 1,939   | 1,939   | 1,939   | 1,939   |
| Total equity                                   | 9,243  | 9,878   | 10,148  | 10,211  | 10,276  | 10,344  | 10,414  | 10,488  |
| Net cash after lease liabilities               | (148)  | 265     | 211     | (272)   | (748)   | (1,157) | (1,357) | (1,515) |
| Lease liabilities / EBITDA                     | 0.36x  | 0.31x   | 0.28x   | 0.25x   | 0.24x   | 0.23x   | 0.22x   | 0.21x   |

Notes to the CONDENSED layout – reconciliation, population, contract balances and the royalty accrual are noted inside the working capital line, as the sheet does not list to total assets. The FY2023 payables line still contained the royalty accrual (AED 1,873mn, separately disclosed from FY2024), it is excluded here in every year as the series is like-for-like. The lease book is held flat (replacement + depreciation), the FY2023 payables balance is carried unchanged. Cash and term deposits roll forward from profit loss the –98% payout – the FY-2026 interest term deposits at 20 Jan 2026 after the AED 4.1bn equity plus dividend outflow) show exactly this mechanic next year.

Cash flow — historical markers and the forecast waterfall

AED mn

| AED mn                                                             | FY2024  | FY2025  | FY26E   | FY27E   | FY28E   | FY29E   | FY30E   |
|--------------------------------------------------------------------|---------|---------|---------|---------|---------|---------|---------|
| EBITDA                                                             | 6,470   | 7,338   | 7,822   | 8,117   | 8,481   | 8,815   | 9,132   |
| Federal royalty and income tax paid                                | (1,929) | (1,883) |         |         |         |         |         |
| Net cash generated from operating activities                       | 4,637   | 5,230   |         |         |         |         |         |
| Purchase of PP&E and intangibles                                   | (1,920) | (2,353) |         |         |         |         |         |
| NOPAT                                                              | -       | -       | 3,153   | 3,253   | 3,404   | 3,546   | 3,696   |
| Add back depreciation and amortisation                             | -       | -       | 2,235   | 2,352   | 2,448   | 2,530   | 2,582   |
| Capital expenditure                                                | -       | -       | (2,572) | (2,586) | (2,612) | (2,529) | (2,525) |
| Lease replacement                                                  | -       | -       | (355)   | (350)   | (345)   | (340)   | (335)   |
| Change in working capital                                          | -       | (158)   | 46      | 43      | 52      | 48      | 46      |
| Free cash flow to the firm                                         | -       | -       | 2,507   | 2,712   | 2,947   | 3,256   | 3,464   |
| Dividends paid                                                     | (1,858) | (2,629) | (3,092) | (3,180) | (3,319) | (3,451) | (3,594) |
| Cash conversion — operating cash flow as a share of EBITDA, FY2025 |         | 71.3%   |         |         |         |         |         |

du converts EBITDA to operating cash at over 70% AFTER the 43.6% fiscal take — the negative-working-capital model means growth releases cash. The constraint on equity cash flow is the ~100% payout plus the data-centre capex ramp, which is why term deposits fell to nil at 30-Jun-2026.

## Summary financials — the eight-year picture

AED mn unless stated. Every cell on this sheet is a link or a ratio; nothing is typed twice

| AED mn                                       | FY2023 | FY2024 | FY2025 | FY26E  | FY27E  | FY28E   | FY29E   | FY30E   |
|----------------------------------------------|--------|--------|--------|--------|--------|---------|---------|---------|
| Revenue                                      | 13,636 | 14,636 | 15,905 | 16,593 | 17,240 | 18,011  | 18,734  | 19,424  |
| Revenue growth                               | -      | 7.3%   | 8.7%   | 4.3%   | 3.9%   | 4.5%    | 4.0%    | 3.7%    |
| EBITDA                                       | 5,800  | 6,470  | 7,338  | 7,822  | 8,117  | 8,481   | 8,815   | 9,132   |
| EBITDA margin                                | 42.5%  | 44.2%  | 46.1%  | 47.1%  | 47.1%  | 47.1%   | 47.1%   | 47.0%   |
| EBIT                                         | 3,601  | 4,316  | 5,170  | 5,587  | 5,765  | 6,032   | 6,284   | 6,549   |
| Net profit                                   | 1,668  | 2,488  | 2,905  | 3,155  | 3,245  | 3,387   | 3,522   | 3,667   |
| Free cash flow to the firm                   | -      | -      | -      | 2,507  | 2,712  | 2,947   | 3,256   | 3,464   |
| Net cash after lease liabilities             | (168)  | 285    | 311    | (272)  | (748)  | (1,137) | (1,357) | (1,515) |
| Invested capital                             | -      | 11,536 | 12,025 | 12,671 | 13,212 | 13,668  | 13,959  | 14,190  |
| Return on invested capital (average capital) | -      | -      | -      | 25.5%  | 25.1%  | 25.3%   | 25.7%   | 26.3%   |

Invested capital = PP&E + right-of-use assets + intangibles + goodwill + net working capital (negative for du). FY2023 is not shown because goodwill was not disclosed as a separate line that year.

Probabilistic price map

A map of price dispersion. It carries no view on value and is never blended with the valuation. Each figure is an engine output, not a formula.

| Horizon                                | 5th       | 25th         | Median | 75th  | 95th  | P(above spot) |
|----------------------------------------|-----------|--------------|--------|-------|-------|---------------|
| One month — to 2026-09-07              | 10.85     | 11.71        | 12.28  | 12.89 | 13.88 | 49.2%         |
| Three months — to 2026-11-09           | 9.82      | 11.26        | 12.26  | 13.35 | 15.32 | 49.0%         |
| Level event                            | One month | Three months |        |       |       |               |
| Finishes 10% or more above spot        | 9.1%      | 21.9%        |        |       |       |               |
| Finishes 10% or more below spot        | 7.9%      | 21.0%        |        |       |       |               |
| Touches 10% above spot at any point    | 15.2%     | 40.5%        |        |       |       |               |
| Touches 10% below spot at any point    | 12.8%     | 37.9%        |        |       |       |               |
| Engine setting                         | Value     |              |        |       |       |               |
| Simulated paths                        |           | 50,000       |        |       |       |               |
| Annualised volatility (3-month anchor) |           | 28.1%        |        |       |       |               |
| Spot price (AED)                       |           | 12.30        |        |       |       |               |
| Anchor date                            |           | 2026-08-07   |        |       |       |               |

## Sensitivity — what the valuation needs the world to do

AED per share. Each cell is a complete re-run of the model, including the unit build, so these grids are engine outputs rather than formulas and do NOT redraw when a driver is changed.

### Terminal cost of capital (rows) x terminal growth (columns)

|       | 1.5%  | 2.0%  | 2.5%  | 3.0%  | 3.5%  |
|-------|-------|-------|-------|-------|-------|
| 5.08% | 19.67 | 22.15 | 25.59 | 30.68 | 38.97 |
| 5.58% | 17.38 | 19.20 | 21.61 | 24.95 | 29.88 |
| 6.08% | 15.59 | 16.98 | 18.74 | 21.08 | 24.32 |
| 6.58% | 14.16 | 15.24 | 16.58 | 18.29 | 20.55 |
| 7.08% | 12.98 | 13.84 | 14.88 | 16.18 | 17.84 |

### Explicit-window cost of capital (columns) x terminal cost of capital (rows)

|                | 5.32% | 5.82% | 6.32% | 6.82% | 7.32% |
|----------------|-------|-------|-------|-------|-------|
| terminal 5.08% | 26.21 | 25.90 | 25.59 | 25.29 | 24.99 |
| terminal 5.58% | 22.14 | 21.87 | 21.61 | 21.36 | 21.11 |
| terminal 6.08% | 19.20 | 18.97 | 18.74 | 18.52 | 18.31 |
| terminal 6.58% | 16.98 | 16.78 | 16.58 | 16.38 | 16.19 |
| terminal 7.08% | 15.24 | 15.06 | 14.88 | 14.71 | 14.54 |

### Single-driver sensitivities — five engine re-runs per row; the parameter grid for each row is shown beside its name

| Driver (parameter grid)                                                   |       |       |       |       |       | Swing |
|---------------------------------------------------------------------------|-------|-------|-------|-------|-------|-------|
| Beta (regression CI ends, then priors) (0.35 / 0.49 / 0.62 / 0.65 / 0.80) | 20.32 | 16.97 | 14.64 | 14.19 | 12.30 | 8.02  |
| Combined fiscal take (Framing B ~51.5%) (40.0% / 43.6% / 47.0% / 5        | 20.08 | 18.74 | 17.46 | 16.33 | 15.17 | 4.92  |
| Blended ARPU multiplier (0.92x / 0.96x / 1.00x / 1.04x / 1.08x)           | 16.79 | 17.77 | 18.74 | 19.72 | 20.70 | 3.91  |
| Subscriber path shift ('000) (-400 / -200 / +0 / +200 / +400)             | 17.81 | 18.28 | 18.74 | 19.21 | 19.68 | 1.86  |
| Contribution margins, multiplicative (0.94x / 0.97x / 1.00x / 1.03x / 1   | 16.25 | 17.50 | 18.74 | 19.99 | 21.23 | 4.98  |
| Capex path multiplier (0.850x / 0.925x / 1.000x / 1.100x / 1.200x)        | 19.79 | 19.27 | 18.74 | 18.05 | 17.35 | 2.44  |
| Working capital / revenue (-10.0% / -8.5% / -6.7% / -5.0% / -3.0%)        | 18.96 | 18.86 | 18.74 | 18.64 | 18.51 | 0.45  |
| Terminal return on invested capital (18.0% / 22.0% / 26.7% / 30.0% /      | 17.93 | 18.39 | 18.74 | 18.93 | 19.11 | 1.17  |
| Terminal growth (at base cost of capital) (1.5% / 2.0% / 2.5% / 3.0% /    | 15.59 | 16.98 | 18.74 | 21.08 | 24.32 | 8.72  |



Per-share and ratio analysis

The indicator set for an integrated telecom operator: ARPU, subscribers, margin, capital intensity, cash conversion and the dividend. Every ratio is a formula off the statements.

| Measure                                                    | FY2023 | FY2024 | FY2025 | FY26E  | FY27E  | FY28E  | FY29E  | FY30E  |
|------------------------------------------------------------|--------|--------|--------|--------|--------|--------|--------|--------|
| Earnings per share (AED)                                   | 0.37   | 0.55   | 0.64   | 0.70   | 0.72   | 0.75   | 0.78   | 0.81   |
| Dividend per share (AED)                                   | 0.34   | 0.54   | 0.64   | 0.68   | 0.70   | 0.73   | 0.76   | 0.79   |
| Payout ratio                                               | 92.4%  | 98.4%  | 99.9%  | 98.0%  | 98.0%  | 98.0%  | 98.0%  | 98.0%  |
| Dividend yield at the anchor spot                          | 2.8%   | 4.4%   | 5.2%   | 5.5%   | 5.7%   | 6.0%   | 6.2%   | 6.4%   |
| Book value per share (AED)                                 | 2.04   | 2.18   | 2.24   | 2.25   | 2.27   | 2.28   | 2.30   | 2.31   |
| Free cash flow to the firm per share (AED)                 | -      | -      | -      | 0.55   | 0.60   | 0.65   | 0.72   | 0.76   |
| EBITDA margin                                              | 42.5%  | 44.2%  | 46.1%  | 47.1%  | 47.1%  | 47.1%  | 47.1%  | 47.0%  |
| EBIT margin                                                | 26.4%  | 29.5%  | 32.5%  | 33.7%  | 33.4%  | 33.5%  | 33.5%  | 33.7%  |
| Net margin                                                 | 12.2%  | 17.0%  | 18.3%  | 19.0%  | 18.8%  | 18.8%  | 18.8%  | 18.9%  |
| Return on equity                                           | -      | -      | 26.0%  | 29.0%  | 31.0%  | 31.7%  | 32.8%  | 33.9%  |
| Return on invested capital                                 | -      | -      | -      | 25.5%  | 25.1%  | 25.3%  | 25.7%  | 26.3%  |
| Capital expenditure / revenue (capital intensity)          | -      | -      | -      | 15.5%  | 15.0%  | 14.5%  | 13.5%  | 13.0%  |
| Lease liabilities / EBITDA                                 | 0.36x  | 0.31x  | 0.26x  | 0.25x  | 0.24x  | 0.23x  | 0.22x  | 0.21x  |
| Working capital / revenue                                  | (7.1%) | (8.3%) | (6.7%) | (6.7%) | (6.7%) | (6.7%) | (6.7%) | (6.7%) |
| Operating KPIs (company-disclosed history, house forecast) |        |        |        |        |        |        |        |        |
| Mobile subscribers, end of year ('000)                     | 8,916  | -      | 9,704  | 9,450  | 9,760  | 10,010 | 10,240 | 10,450 |
| Fixed subscribers, end of year ('000)                      | 682    | -      | 735    | 760    | 790    | 815    | 838    | 858    |
| Blended mobile ARPU (AED/month)                            | -      | -      | 65.8   | 63.3   | 63.4   | 63.6   | 63.8   | 64.0   |

Mobile subscriber history: 8,916k (Q4-2024), 9,704k (Q4-2025) — the FY2024 column carries the Q4-2024 base and the ARPU column the company's quarterly prints (65.8 Q4-2024, 63.3 FY2025). Q2-2026 actual: 9,280k after the war quarter (−412k), the base the forecast recovers from.

Peer frame and sector context

Aggregator multiple reads, labelled cross-check — never a build source. du computed from its own audited figures

| Company                                    | Market            | Trailing P/E | Dividend yield | Relevance / caution                                                                  |
|--------------------------------------------|-------------------|--------------|----------------|--------------------------------------------------------------------------------------|
| e& (EAND)                                  | UAE (ADX)         | ~20.7x       | ~4.8%          | the other half of the duopoly; scale, international assets and a higher multiple     |
| stc                                        | Saudi Arabia      | ~18.9x       | ~5.2%          | regional benchmark payer; the yield anchor for the cross-check                       |
| Mobily                                     | Saudi Arabia      | ~15.5x       | ~2.9%          | closest structural analogue — the #2 operator that closed the gap; the justified P/E |
| Ooredoo                                    | Qatar             | ~12.5x       | ~4.6%          | multi-market; softer growth, lower multiple                                          |
| Zain                                       | Kuwait            | ~9x          | ~6-7%          | levered multi-market; the low end of the bracket                                     |
| Omantel                                    | Oman              | ~11.4x       | ~6.7%          | small-market incumbent; yield-heavy                                                  |
| Deutsche Telekom / Vodafone                | Developed markets | n/m          | 3.4% / n/m     | the developed-market bracket: slower growth, more leverage, lower returns            |
| du own multiples (computed live)           | Value             |              |                |                                                                                      |
| Trailing price / earnings                  | 19.19x            |              |                |                                                                                      |
| Trailing enterprise value / EBITDA         | 7.56x             |              |                |                                                                                      |
| Trailing dividend yield (FY2025 DPS / spot | 5.2%              |              |                |                                                                                      |
| Justified price / earnings applied         | 15.50x            |              |                |                                                                                      |

Peer EV/EBITDA was not reliably sourceable from public aggregators at the sweep date (net-debt figures missing); the relative lens therefore runs on P/E and dividend yield, both sourced, and that limitation is stated rather than papered over.